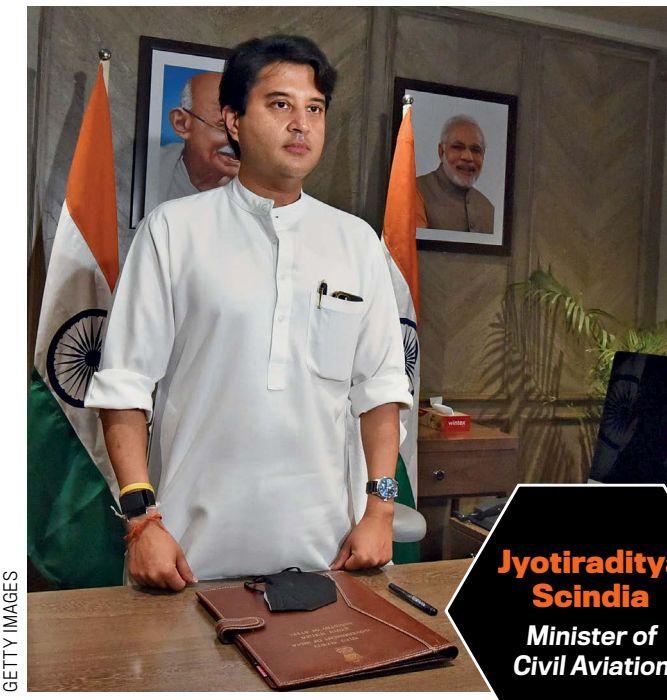
FLIGHT CAPTAIN

The ministry has had to play facilitator rather than regulator for an aviation sector hit by inclement conditions

By Kaushik Deka



GETTY IMAGES

Jyotiraditya Scindia
Minister of Civil Aviation

THE LAST THREE YEARS were riddled with disruptions because of two major global crises—first, the Covid-19 pandemic, and then the Ukraine-Russia war. In terms of their economic impact, the aviation sector has been among the worst-hit. Add to that a falling rupee and the increase in aviation turbine fuel (ATF) prices, and airlines in India bled heavily, with Go First going bust in May, four years after Jet Airways met a similar fate.

As the combined losses of the industry kept mounting, the Union ministry of civil aviation had to play the role of a facilitator, and not just a regulator. Led by the dapper Jyotiraditya Scindia, the ministry convinced 19 states and UTs to reduce the value-added tax (VAT) on ATF. The goods and services tax (GST) has also been reduced from 18 per cent to 5 per cent for domestic maintenance, repair and overhaul (MRO) services.

The expansion of airports has continued, with 11 greenfield airports operationalised since 2019. The Udan (or Ude Desh ka Aam Naagrik) scheme, announced in 2016, to enhance regional air connectivity and make air travel affordable, has also shown impressive growth. Since 2019, 38 airports have become operational under the scheme. In all, the network has expanded to 459 routes connecting 72 airports, including nine heliports and two water aerodromes, in Tier 2 and 3 cities, as on January 30. Add to it 58 airports covered under Krishi Udan, meant for the transportation of perishables and agricultural produce, since its launch in 2020.

That said, recognising the drone technology's economic and strategic importance, the Union government has also liberalised the drone policy, incentivised the manufacturing of drones and their components and is working on establishing international partnerships for exporting drones to friendly countries. According to industry estimates, over 100,000 drone pilots will be required in the next three years. The DGCA has already approved 48 drone training schools.

The civil aviation ministry is also focusing on increasing flying training organisations (FTOs) and enhancing facilities for aircraft MRO in India. In 2022, the DGCA issued 1,061 commercial pilot licences, the highest for any year in the past decade.

What India now needs to do is leverage its airports and become a global hub like Qatar, Singapore and Dubai. The ministry must also facilitate an economic environment where air travel remains affordable for passengers as well as viable for the airlines. ■

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उड़े देश का आम नागरिक UDAN

72 AIRPORTS | **459** ROUTES

(as on Jan. 30, 2023)

BUT...

India must leverage its airports to become hub like Qatar, Singapore and Dubai